

The Exceptional Experience

The Exceptional Experience

Creating a Business Your Customers Will Love

Michael G. Walker

Copyright © 2024 by Michael G. Walker. All Rights Reserved. No portion of this book may be reproduced by any mechanical, photographic, or electronic process, or in the form of a phonographic recording; nor may it be stored in a retrieval system, transmitted, or otherwise copied for public or private use other than for “for use” as brief quotations embodied in articles or reviews without prior written permission of the authors or publisher.

The author of this book does not dispense business advice; only offers information of a general nature to help you in your quest for business success. This book is not designed to be a definitive guide or to take the place of advice from a qualified professional, and there is no guarantee that the methods suggested in this book will be successful, owing to the risk that is involved in business of almost any kind. Thus, neither the publisher nor the authors assume liability for any losses that may be sustained by the use of the methods described in this book, and any such liability is hereby expressly disclaimed. In the event you use any of the information in this book, the author and the publisher assume no responsibility for your actions.

Published in the United States by Game Changer Publishing:

www.GameChangerPublishing.com

Paperback ISBN: 978-1-962656-90-0

Hardcover ISBN: 978-1-962656-91-7

Digital: ISBN: 978-1-962656-92-4

DEDICATION

This book is dedicated to the bold visionaries and relentless dreamers—the entrepreneurs who understand that success in business is not just about transactions but the profound impact of exceptional experiences for their customers.

May this book be a guide, a source of inspiration, and a companion on your journey of creating businesses the world will not only choose but wholeheartedly love.

To Your Success - *MW*

Read This First!

Just to say thanks for buying and reading our book, we would like to give you a few free bonus gifts, no strings attached.

Download Your Free Gifts Here:

Book Companion Video Series & CSM Hiring Kit



We'll be referencing these resources throughout the book. Wherever you see the Star Icon (below), additional insights and resources are available for you. So scan the QR Code now and follow along as we go through the book together!



The Exceptional Experience

Creating a Business Your Customers Will Love

Michael G. Walker



www.GameChangerPublishing.com

Foreword

For many years, I played the “hustle & grind” game with my businesses.

I was trained to recognize the value of a *new* customer. Everything was about acquiring *more*—more customers, more clients, more profit. But what about the value of an *old* customer?

The latest estimates suggest it’s 5 times as expensive to *get a new customer* as it is to *keep an old customer*.

If you walk into any room in the world and say, “There is a way to run your business profitably while eliminating 80% of your expenses—who wants it?”

Everyone would raise their hand.

And yet, many times, a business will spend 10x as much money on marketing & sales as they spend on client services & operations.

It took me many years to figure out that this is not the way to grow a business. The only thing better than client acquisition is *client retention*.

Before long, if you stop *losing* customers—you stop “needing” more of them!

Just this last month, our main consulting firm, The Wealthy Consultant, re-activated nearly 10% of our entire client base into higher-level offerings & memberships.

That means they were not *new* enrollments, and we didn't have to spend a dime to advertise or market to them. Our client service "machine" kept track of them, stayed in touch with them, and when they were ready, re-activated them back into the fold.

A machine like this is *worth its weight in gold*.

Mike Walker is one of the best minds I've ever encountered when it comes to thinking systematically and *methodically* about this. Together, I believe we have built one of the greatest customer-focused firms in the world.

And now, for the first time, you can get a glimpse into how we build these systems out across our firms. You will be equipped with the tools to meticulously construct your own processes to *never* lose a client again.

ENJOY!

A handwritten signature in black ink, reading "Taylor Welch". The signature is fluid and cursive, with a long horizontal stroke at the end.

CEO, Welch Equities
Welch Consulting LLC
@taylorawelch

Table of Contents

Introduction.....	1
Chapter 1 – Introduction to Client Services: What It Is (And What It Isn't)	3
Chapter 2 – From Prospect to Advocate: Crafting a Memorable Client Journey.....	13
Chapter 3 – Engineering Happiness: Creating An Exceptional Experience.....	25
Chapter 4 – Balancing Heart & Data: Client Relationship Management	31
Chapter 5 – Unlocking Loyalty: Client Retention Frameworks.....	59
Chapter 6 – Mastering CS: Training & Development	71
Chapter 7 – Additional Resources & Review	81
Conclusion, CTA & Resources.....	85
Client Services Resources.....	91

Introduction

The Exceptional Experience: Building a Business Your Customers Will Love is a straightforward exploration into the world of client services. In today's business landscape, where customer satisfaction is paramount, this book is your practical guide to meeting and exceeding your clients' expectations. We're taking a journey that goes far beyond typical advice on client services and delving into the details of creating an experience that genuinely resonates with your customers.

In the opening chapters, I break down the essence of client services, moving beyond basic support to understand its pivotal role in business growth. As we progress, the focus shifts to the dynamic relationship between client services and sales—a concept rarely addressed in many organizations. I challenge conventional ideas about client loyalty, emphasizing the importance of strategic appreciation for forging lasting connections.

At the core of the book lies the art and science of crafting an exceptional experience for your clients. From making solid first impressions and setting client expectations to managing day-to-day client relationships, each chapter provides practical insights and strategies. Beyond theoretical frameworks, I delve into the practical aspects of

MICHAEL G. WALKER

technology integration, communication tactics, and key performance indicators.

Whether you're a seasoned business professional or just starting out, *The Exceptional Experience* equips you with the tools and knowledge to retain clients and turn them into advocates. By the final chapters, you'll discover how to build a client-centric culture, enhance organizational efficiency, and create compensation plans for success.

This book is more than just a guide; it's a roadmap for building strong relationships, fostering loyalty, and creating a business that customers do more than just like—they actively support it. Get ready to rethink your approach to client services and embark on a journey toward business excellence. "The Exceptional Experience" provides you with the understanding and resources needed to reshape your business and cultivate a community of satisfied, loyal customers.

CHAPTER 1

Introduction to Client Services: What It Is (And What It Isn't)

Defining Client Services

The term “Customer Success” has become a buzzword in today’s business world. Customers all expect it, and vendors all aim to deliver it. But who decides when it’s been achieved? If you are truly a customer-centric company, the answer to that—and all other questions—should come easily: The customer ultimately decides.

Client Services: A Synonym for “Customer Success”

As you delve into the realm of Customer Success (CS), you may come across the terms “customer success” and “client services.” Essentially, they share the same core objectives, which revolve around ensuring customers are satisfied and consistently engage in business with the company.

At The Wealthy Consultant (TWC), we firmly believe in our clients’ potential to achieve their goals, provided they commit to putting in the necessary effort. Consequently, our focus centers on delivering top-notch products, systems, and support to help our clients meet their objectives.

MICHAEL G. WALKER

While we bear responsibility for offering a well-rounded environment comprising community, curriculum, and consulting, it's important to underscore that the actual definition and attainment of "success" lies in the hands of the client.

Clients and Customers

While there may be subtle distinctions between the terms "clients" and "customers," for the purposes of this playbook and to accommodate a wide array of business types, I use these terms interchangeably. If you, like us at TWC, make distinctions between the two, that's perfectly acceptable. However, such distinctions will not alter the context or application of the information discussed.



For a deeper dive on this, a Clients & Customer explainer is available inside the free resources we've assembled for you. Scan the QR Code or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit



The Vital Roles of Client Services (CS)

Client Services (CS) assumes five key responsibilities:

1. **Mitigating Churn through Value Attainment:** The primary goal here is to reduce customer turnover by ensuring that clients realize the full value of their investment.
2. **Driving Increased Client Lifetime Value (LTV) through Value Expansion:** This involves enhancing the value clients receive

THE EXCEPTIONAL EXPERIENCE

from a product or service, ultimately leading to increased long-term value.

3. **Improving Client Experience:** Elevating the overall experience of clients is a fundamental responsibility, fostering satisfaction and loyalty.
4. **New Client Acquisition via Existing Client Advocacy:** Harnessing the advocacy of existing clients to attract new ones is a key strategy for business growth.
5. **Proactively Supporting the Client Toward Self-Defined Success:** Providing active assistance to clients in achieving their unique visions of success is crucial.

The Significance of Client Services

Organizations typically allocate significantly more resources to acquire new customers than they do to maintain existing ones. To maximize profitability, retaining customers is essential. Customer retention stands as one of the most straightforward methods to attain profitability.

It's important to recognize that clients are not merely paying for products or services but rather for the value and outcomes these offerings deliver. Hence, a positive outcome must be provided swiftly and consistently.

In the realm of business, and particularly in fields such as coaching and consulting, your success is intricately linked to the success of your clients.

MICHAEL G. WALKER

“Client Support” vs. “Client Services”

The terms “support” and “services” are often used interchangeably, but they represent two distinct roles in client interactions.



I’ve included a video and downloadable resource sheet for you on this topic inside the Book Companion Resources (scan the QR code provided earlier if you haven’t already done so).

Client Support

- **Focus:** Client support primarily concentrates on addressing and resolving issues, concerns, and queries that clients may encounter throughout a project or engagement.
- **Responsibilities:**
 - Providing technical aid and troubleshooting for issues related to the consulting services or products offered.
 - Managing client inquiries, complaints, and feedback, working towards their resolution to ensure client satisfaction.
 - Guaranteeing that clients have access to the essential resources, tools, and information needed to maximize the benefits of consulting services.
- **Goal:** The core objective of client support is to deliver prompt and effective solutions to client problems, thereby ensuring client contentment and averting any disruptions in their experience.

THE EXCEPTIONAL EXPERIENCE

Client Services

- **Focus:** Client services, also referred to as client success, adopt a more proactive stance centered on nurturing and maintaining robust client relationships. The primary aim is to ensure that clients achieve their objectives and extract the utmost value from the products and services provided.
- **Responsibilities:**
 - Formulating and implementing a client success plan outlining the client's objectives and the steps required for their realization.
 - Regularly engaging with clients to assess their needs, comprehend their goals, and offer strategic guidance and recommendations.
 - Monitoring the progress of client projects and identifying opportunities for enhancements or supplementary services.
 - Collaborating with internal teams to meet the client's requirements and uphold the consulting agency's commitments.
- **Goal:** The primary goal of client services is to foster enduring, mutually advantageous relationships with clients. This encompasses ensuring that clients attain their desired outcomes and perceive the consulting agency as a valuable partner in their success.

MICHAEL G. WALKER

The Past, Present & Future of Client Services

The Evolution of Customer Experience in Modern Business

Many business leaders believe they have a solid grasp of what customer experience entails. Yet, paradoxically, a significant number of these leaders find their businesses losing 20%-40% (or even more) of their customer base annually.

Looking Back

In the 1970s and 1980s, businesses could differentiate themselves by simply delivering products without defects. It might be surprising, but at that time, it was not uncommon for up to 20% of shipped products to arrive damaged. Merely meeting the product's advertised specifications was considered a hallmark of good service.

Moving into the 1990s, customization became the route to differentiation.

By the 2000s and 2010s, being available around the clock, every day of the year, was a competitive edge. However, this advantage diminished as virtually every business went online.

So, what's the game-changer now?

In an era where product defects are minimal, customized offerings are widespread, prices are highly competitive, and products and services are accessible at any time, the last frontier for differentiating a business from its competitors is the quality of the customer experience.

THE EXCEPTIONAL EXPERIENCE

Today's Landscape

In the contemporary marketplace, customers and clients have unparalleled access to numerous solutions. With just a few clicks, products and services are delivered in a matter of seconds to days. Accessibility and the freedom to switch have never been more prevalent.

While there are distinctions between business-to-consumer (B2C) and business-to-business (B2B) operations, these differences are less substantial than commonly assumed. All businesses ultimately boil down to human interactions, and it's worthwhile to adopt a human-to-human (H2H) perspective because that's what truly matters.

When you shift your mindset to H2H thinking, you uncover more shared attributes between you and your customers or clients. This knowledge allows you to integrate insights into human nature into your business operations.

**The Future of Client Services
(Hint: It Goes Beyond "Post Sale")****The Subscription Economy:**

Whether it's software, music, movies, or diet programs, the key to winning over investors and public markets lies in establishing a business that secures recurring monthly payments from a substantial customer base.

Businesses that aren't inherently subscription-based are likely moving toward pay-as-you-go models, which have similar features and demands.

MICHAEL G. WALKER

“In traditional businesses, the customer relationship ends with the purchase. But in a subscription business, the customer relationship begins with the purchase.” - Tien Tzuo, the founder and CEO of business software company Zoura

When you rely on customer Lifetime Value (LTV) rather than a one-time sale to ensure long-term success, it changes the entire dynamic.

Leading companies globally integrate the post-sale customer experience into their marketing and sales strategies, giving potential customers a glimpse of what to expect. This motivates prospects to commit and sets realistic expectations for the post-sale journey.

The challenge is that the post-sale experience is rarely a focal point in sales or marketing discussions. Once you’ve built an exceptional post-sale experience, the key to success is to incorporate it into your marketing and sales efforts. This presents a unique opportunity to differentiate your company.

To bring the customer experience to the forefront of sales discussions with prospects, it’s crucial to both “share” your customer experience philosophy and “show” prospects what it entails. Demonstrating this through marketing gestures and thoughtful actions provides a sneak peek into the future customer experience.

“People think it’s sexier to go chase new customers. They don’t get it. The magic is pouring on gas to ignite existing relationships. I’d rather have a massive bonfire of my most loyal adopters than constantly light little sparks here and there.” - Unknown

THE EXCEPTIONAL EXPERIENCE

Professional Insights:

Investors often apply higher valuation multiples to companies with recurring revenue models. For example, a business might be valued at 5-10 times its annual recurring revenue (ARR).

Examples of the subscription economy expanding into traditional products and services:

Auto Industry: Some automakers are testing vehicle subscription services, allowing customers to use different models based on their needs.

Telehealth: Subscription-based telehealth services are likely to become more common as the demand for remote medical consultations and digital health solutions grows.

Micromobility: Subscription-based services for electric scooters, bikes, and other micromobility options are already gaining popularity in urban areas.

Home Maintenance: Subscription-based services for home maintenance, repair, and improvement could provide ongoing support and expertise.

Sustainable Fashion: Subscription models may encourage sustainable fashion consumption by offering rental, resale, or access to exclusive collections.

CHAPTER 2

From Prospect to Advocate: Crafting a Memorable Client Journey

The Fusion of CS & Sales in The Subscription Economy

In a recurring revenue business, there's no such thing as post-sales. Every single activity is a pre-sales activity.

Synergistic Relationship

One of the highest leverage activities of the CS team's responsibilities is to identify potential upgrades within the existing customer base and then communicate those opportunities to the appointed Sales Team Manager with that Client Services Qualified Lead (CSQL). The Sales Team lead can then reach out to the customer (with a huge amount of information about the customer and desired outcomes via the CS Team's notes)

What's exciting about CSQLs are the results. MQLs (Marketing Qualified Leads) convert at a rate of anywhere between 5% and 20%. In contrast, CSQLs, on average, convert between 60% and 70% due to re-

MICHAEL G. WALKER

established relationships and the immense amount of personalized approach to the sale that can be curated.

Sales and Client Services should be very well connected and collaborate weekly in person or over Zoom (not just via email or Slack). Discussions can be simple and efficient, focusing primarily on upcoming renewals, at-risk clients, pending payments and CSQLs.

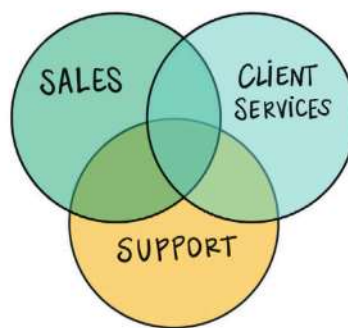
At first, there can be some initial confusion about responsibilities between Sales and CS until you get in a groove, but the goal should be to delegate clearly defined roles as quickly as possible. (Remember, consistent communication cures all)

CSQLs should be a primary KPI that is tracked and reported on by the Sales Director to the Executive Team. Renewals and Upgrades are 100% profit-generating for the company and play a huge role in overcoming the drag on revenue caused by churn and the cost of acquiring new customers.

Ideal Synergy

Sales x Support x Client Services:

- Sales serves as an ongoing overlay for all matters around revenue retention, billing and periodic check-ins, which adds an additional layer of human touch and accountability to the Client/Company relationship. (This allows sales reps to maintain their book of business and cultivate opportunities for referrals)



THE EXCEPTIONAL EXPERIENCE

- **Support** is reactive and provides on-demand assistance with an emphasis on making things easy for the client.
- **Client Services** is proactive, using data and analytics to determine which clients should be acted on. CS serves as the client's strategic advisor, focuses on monitoring the client's journey toward their self-defined goals, and provides tools, systems, and assistance to bring those to fruition.



Looking for more insights on this topic?
Scan the QR Code or click the link here if
reading in digital format: Book Companion Video
Series & CSM Hiring Kit



When you build compensation plans and operational models correctly, Client Services will send upgrade and referral opportunities to Sales, and Sales will send incidents and insights back to Client Services. This means CS will find sales opportunities and share them with Sales, and Sales will find areas of improvement and share those with CS.

To optimize the onboarding experience after the sale, the salesperson should “pre-frame” the customer experience—in other words, explain and demonstrate the look and feel of the experience after the sale and set expectations for future interactions. The salesperson needs to paint a picture of what can be expected and then put the prospect at ease by detailing what will happen to make sure this image of life after the sale becomes a reality.

MICHAEL G. WALKER

Selling To The Right Customer



Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

Keeping churn low (cancellations and refunds) means your Sales Team must be completely aligned with product-market fit to ensure that they are selling to the right customer.

The churn itself is only the tip of the iceberg; the cost of signing customers that you can't make successful could be enormous. First, you incur the customer acquisition cost (CAC) of bringing these customers on board. But the biggest cost is the opportunity cost of applying resources to the wrong customers and, inevitably, doubling down on those customers when they struggle. These resources could have gone to helping other customers who have a greater opportunity for higher customer LTV.

"Ninety percent of all churn happens at the time of sale." - Dave Kellogg, CEO of Host Analytics

In other words, at least in his business, almost all churn happens because they've sold to the wrong customer. This is probably true to varying degrees across all businesses. And the actual cost of selling to the wrong customer is enormous.

The last negative might be the biggest one—the word-of-mouth that will go forth from this failed customer. Although much of the blame might actually fall on him, that's not likely to be the story when that customer talks to friends and colleagues about you.

THE EXCEPTIONAL EXPERIENCE

High-touch businesses are especially affected by not selling to the right customer.

Professional Insights:

Once your Annual Renewal Revenues represent 50% or more of your Total Annual Revenue, it's recommended to create a dedicated renewals team. Their sole job would be to manage contract renewals, especially for High LTV/High Ticket products and services that require bespoke services and high levels of communication with the client.

From First Date - To Death Do Us Part

A Dating & Marriage Analogy



Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

Buyer's remorse is a familiar saying among business professionals, yet remarkably few businesses take concrete steps to alleviate their customers' feelings of apprehension, uncertainty, and doubt.

Ineffective transitions between Sales and Customer Service (CS) not only erode trust but also diminish customer confidence, both of which are essential for a successful client onboarding process.

To illustrate the significance of this, consider what it would be like if the dating world mirrored this approach. Picture engaging in exciting activities with one person and then, upon committing to a relationship, finding yourself "assigned" to an entirely different individual. This analogy

MICHAEL G. WALKER

underscores the critical nature of the client onboarding experience. It is not just about providing information; it is also about understanding the emotions your new clients are likely to experience at various stages of the process.

From the perspective of new clients, the onboarding process is as much an emotional journey as it is a functional one, if not more so. One must not underestimate their need for reassurance and the requirement for highly detailed instructions regarding the next steps.

Professional Insights:

- **Clear Communication:** Do not assume that your new clients inherently know what to do next. Instead, spell out the steps as plainly as possible. Over-communication is often more effective than underestimating their need for guidance.
- **Empathy:** Put yourself in your clients' shoes; they have just made a significant financial investment and are immediately pondering what comes next. Provide them with a roadmap so they can anticipate what to expect and when to expect it. You remove friction and fear from their early-stage journey by eliminating question marks from their minds.
- **Continued Engagement:** The Salesperson responsible for acquiring the client should proactively schedule follow-up calls or messages. Remember, trust was initially established through this person. It's essential not to vanish as soon as the purchase is made. Your continued presence is vital for a smooth transition and ongoing confidence building in the client relationship.

THE EXCEPTIONAL EXPERIENCE

The Client Loyalty Myth (You Don't Have To "WOW" Them)

Delivering value always has to be priority #1.

Doing business with you needs to be easy. That's priority #2.

Priority #1: Delivering Value

Value delivery should always be the top priority for any business. When customers receive value from their interactions with a company, it sets the foundation for loyalty. It's not just about what you offer; it's how you offer it.

Priority #2: Ease of Doing Business

Priority number two is ensuring that doing business with your company is effortless. A frictionless experience leaves a lasting impression on customers, making them more likely to return.

The Power of Customer Lifetime Value (LTV)

Consider this: a loyal customer's lifetime value can surpass ten times the value of their initial purchase. This fact emphasizes the immense potential locked within existing customer relationships.

Understanding Your Customers

The more you know about your customers, the better you can optimize their experience. Collecting information without directly asking your customers builds a deeper connection. Being able to connect on something important to them creates an impressive bond.

MICHAEL G. WALKER

Understanding your customers' interests, be it culinary arts, theater, sports, or hobbies, allows for personalized communication.

The Essence of Customer Experience

The customer experience is not just about being delightful or surprising on occasion; it's about consistently providing a good experience. A critical element here is minimizing effort and maximizing speed in customer interactions. The easier and quicker customers get help or receive answers, the more business you'll attract.

Driving Client Loyalty

Human nature drives the desire to belong to a community. Making new customers feel like they're part of something bigger is a wonderful way to establish an early relationship.

In the realm of problem-solving, speed-to-solution holds significant importance for customers across industries. Speed and efficiency are universal priorities for customer satisfaction.

Clients don't expect perfection all the time, but they do expect honesty and transparency. Acknowledging and rectifying mistakes, along with clear communication about improvements, fosters trust.

To secure complete loyalty, make your customers feel they're part of an exclusive community with unique rewards and a shared language. The entire customer experience is about the feelings and emotions you invoke in your customer's mind.

"Logic makes people think, but their emotions make them act." - Old Sales Adage

THE EXCEPTIONAL EXPERIENCE

Professional Insights:

Reduce client effort. To achieve the loyalty outcomes that matter most to your customer service department and your company's success, prioritize reducing customer effort. Make things easy and straightforward. Complexity can be a barrier; simplicity is an asset. Your customers seek the end result without unnecessary complexity. Your goal is to make it easy for them, leaving a lasting impression of "Wow, they made it so easy."

Strategic Appreciation

Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

When it comes to nurturing customer relationships, the concept of "gifting" plays a significant role. Gifting doesn't need to be extravagant, but it must carry a sense of personalization and thoughtfulness. A poorly chosen, inexpensive, or thoughtless gift can swiftly erode a business relationship, sending a message that the relationship holds little value.

The best gifts are those that hold meaning and have a personal touch. They reflect a level of care and thought that aligns with the nature of the relationship. In fact, it's often better to refrain from giving a gift if it's just a standardized, generic token that lacks warmth and personalization.

Even worse, some companies offer so-called "gifts" that don't genuinely serve the customer's interests. For instance, providing a customer with a coupon for a 20% discount on a future purchase isn't a true gift for the customer; it's a tactical move designed to bolster the company's sales figures.

MICHAEL G. WALKER

One significant piece of advice is to keep promotional elements like logos, taglines, or company names out of your gifts. If you give a customer an item branded with your company's logo or name, it's not a gift; it's essentially a promotional tool intended to spread the word about your business. Offering a customer a coffee mug emblazoned with your company's logo is not a gift; it's a marketing strategy in disguise.

Promotional products and branded items have their place, but they shouldn't be confused with genuine gifts. The goal is to offer a gift that stands out on its own merits, prompting others to inquire, "Where did you get that?" when they see it.

When we treat our customers as interchangeable entities, we convey the message that they aren't valued as individuals. We also imply that the ease of offering the same gift to every customer outweighs the effort required to personalize or create something truly special.

True gifts must be tailored to the recipient. Even if it's a box of miscellaneous company-branded swag sent by your office manager, make sure it comes with a personal letter that lends meaning to the gesture.

When was the last time a gift card made you feel a relationship was significant or special? Marking the moment with a physical keepsake solidifies the memory of the new partnership and reinforces the decision to work with you.

Inject playfulness, humor, and unexpected surprises into the gifting experience. These touches need not directly relate to the product; they're designed to make the experience memorable. Remember, your customers are human, and your actions should reflect your company culture while engaging with them.

THE EXCEPTIONAL EXPERIENCE

Strategic Appreciation signifies a systematic practice of gifting as a means of showing appreciation and establishing a foundation for future business and personal interactions within Client Services and Retention.

Allocating a portion of your net profits, ranging from 2% to 10%, for gifting is an essential investment in relationships, on par with the importance of customer interaction tracking software. If you'd spend on taking a customer to a nice dinner or providing tickets to an event, you should be equally willing to invest in a thoughtful gift.

Professional Insights:

Pay Attention to the Calendar

There is such a thing as a bad time to surprise your customer with a gift. Timing is critical. Avoid the times around major holidays when the gifting landscape becomes cluttered with presents from all directions. Instead, consider surprising your customer at unexpected moments. Random acts of gifting are often the most memorable.

Be Better Than Average

Take your gifting beyond the ordinary. The average person tends to resort to money, gift cards, or food, which may not leave a lasting impression. Money can feel transactional, gift cards lack personalization, and food is often consumed and forgotten. Instead, opt for “practical luxuries”—items that bring ongoing delight to your customer for days, weeks, and even months to come.

MICHAEL G. WALKER

Be Genuine

Genuine intentions are at the core of effective gifting. Give presents and surprises because you genuinely want to, rather than with ulterior motives or expectations of reciprocity. A gift with strings attached can be a turn-off and diminish the sincerity of your gesture.

CHAPTER 3

Engineering Happiness: Creating An Exceptional Experience

Client Onboarding & Mastering First Impressions

Nurturing Trust From The Start

Ultimately, Client Services is responsible for delivering on the Sales promise—which starts at onboarding.

The onboarding phase can be marked by the receipt of a purchased product, the start of a service, or an initial kickoff meeting to get things rolling. The customer is excited to get started but somewhat anxious about whether everything will go as promised. If you don't start things off on the right foot, it will be hard to overcome that first impression. Setting the right tone during onboarding is paramount, as the initial impression can have a lasting impact. A strong start can set the stage for a productive and harmonious long-term relationship.

Onboarding is one of the most important phases in a customer's life cycle. This is where trust and expectations are highest, and this is the time to show that you can live up to those claims. Brain science teaches us that even if a prospect knows, loves, and believes in a company's offerings, fear,

MICHAEL G. WALKER

doubt, and uncertainty will plague their thoughts after they become a customer.

In most organizations, new customer onboarding and experience are not consciously designed, logically structured, or consistently executed in a way that meaningfully contributes to the customer's emotional journey.

BUSINESSES ARE OFTEN STRUCTURED AROUND CUSTOMER ACQUISITION, NOT CUSTOMER EXPERIENCE

It is essential to recognize that, in most cases, the onboarding process itself provides minimal value to the customer concerning their true objectives. Therefore, swift and efficient onboarding is crucial, enabling a swift shift towards “time to value” and achieving tangible, positive outcomes sought by the customer.

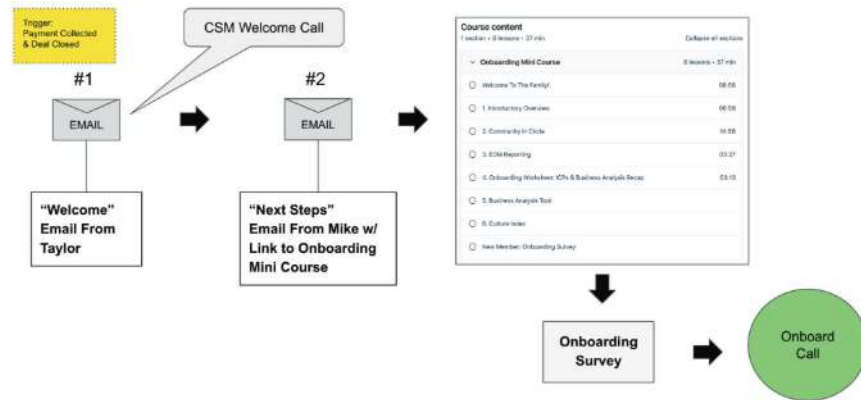
From the company's perspective, the onboarding process might seem straightforward and easy to follow. Nevertheless, the customer is still adapting to the new partnership, creating a significant disparity between the company's expectations and the customer's sentiments. To bridge this gap effectively, it is imperative to eliminate any perceived or actual barriers, no matter how seemingly minor they may be, and ensure that customers can readily engage with the product or service they've acquired right from the outset. Simplifying the process is key to a successful onboarding experience.



Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

THE EXCEPTIONAL EXPERIENCE

Chamber® Onboarding



The 5 Pillars of Successful Onboarding

1. Seamless handover from Sales.
2. Clearly defined client goals.
3. A well-defined process that is intuitive and frictionless.
4. Clear communication.
5. Time-To-Value.

A subpar onboarding experience can be likened to a runner stumbling at the starting line of a race. It sets the tone for the entire journey, turning it into a relentless pursuit of catching up, rather than a seamless display of leadership. Therefore, getting the onboarding process right from the beginning is crucial.

For Client Services, one of the initial priorities is to identify and establish a clear first target or goal for the client. Typically, we place our focus on the client's first 30-day objective. Without a well-defined and mutually agreed-upon goal, we lose the ability to measure the time it takes

MICHAEL G. WALKER

for the client to derive value from our services and ensure a sense of continuous progress.

When customers start reaping benefits right from the outset, they are less likely to explore alternatives. In essence, customers tend to leave when they do not perceive value in what they are receiving.

Ensuring that the customer's experience remains smooth and effortless is of utmost importance throughout their journey, with particular emphasis during the onboarding process. If the onboarding process proves to be excessively complicated and burdensome, there's a risk of losing the customer before they even begin engaging with our product or service.

It is vital to maintain clear and consistent communication between the client and the Customer Success Manager (CSM) to create an exceptional onboarding experience. Defining the expected frequency of emails and calls helps the new customer prepare for these touchpoints in advance.

The period of silence between the purchase decision and the actual delivery of the product or service exacerbates the problem, as it allows self-doubt to creep in. By counteracting this doubt with a series of positive, high-energy communications that reaffirm the customer's decision, we can create a more reassuring experience.

Regular communication tied to significant milestones in the onboarding process eliminates uncertainties. This approach ensures that there are no periods of ambiguity, and the customer always remains informed about their progress in the process. This knowledge fosters a sense of satisfaction, knowing that we are actively working on their behalf.

THE EXCEPTIONAL EXPERIENCE

Onboarding Calls

- Ask questions and really listen to your client's answers.
- Identify where the hurdles are and potential potholes where they could get stuck.
- Decide whether the client requires high touch or low touch cadence.
- Do whatever you can to fully understand your customer's vision of the future. Educate yourself on everything related to your customer in order to help them solve their problems. This is where having clearly articulated Ideal Client Profiles (ICPs) is so critical.

Professional Insights:

Reaching out with a thank-you call within a day of purchase sets your brand apart from most businesses. This call is a chance to acknowledge the customer's purchase, express gratitude for their trust, and address any questions they may have. Leaving a brief, enthusiastic voicemail is also a great way to make a positive impression.

Think ahead and identify potential sources of negative emotions for your customers, such as anxiety, uncertainty, or frustration. Then, find ways to proactively address these issues before the customer needs assistance.

Put yourself in the shoes of someone completely unfamiliar with your product or service. Is the experience easy to navigate? Are the steps in the process clear?

MICHAEL G. WALKER

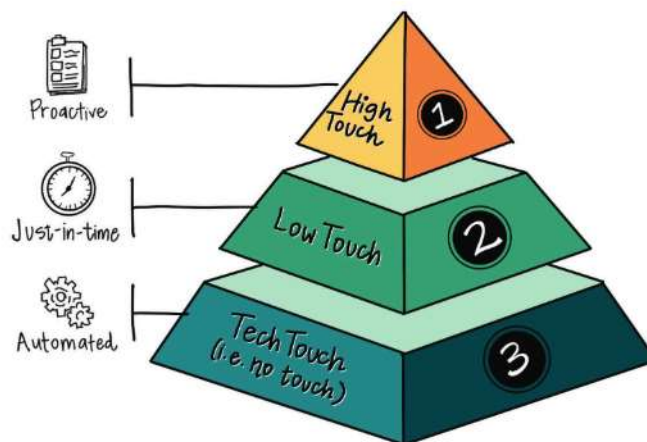
Consider the habits of business visionaries like Tom Monaghan, the founder of Domino's Pizza, and Sam Walton. Monaghan, when traveling, would explore local phone books and order pizza from nearby pizzerias to learn from them. On the other hand, Walton visited Kmart stores during his travels, taking meticulous notes and talking to both customers and employees to identify areas of improvement for Walmart. These examples remind us that our competitors can be valuable sources of learning and improvement rather than just threats to be wary of.

CHAPTER 4

Balancing Heart & Data: Client Relationship Management

Understanding Segmentation (High Touch, Low Touch, Tech Touch)

Customers want to feel special. They want to feel important. They want to matter. If you can make them feel this way on a consistent basis, you will keep your customers for years. Achieving this requires an understanding of how to effectively and efficiently delegate bandwidth and resources based on the customers' needs, objectives, and Lifetime Value (LTV) potential—to name just a few. We achieve this through segmentation.



MICHAEL G. WALKER



Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

[Proactive] High Touch: Relationship Management

The chance to connect, human to human, is increasingly rare in our digital world—making any effort to create impactful in-person connections will always be a cornerstone of exceptional client experience.

- VIP Services
- Paid For Services and/or Implementation (Done-For-You/Done-With-You)
- Opportunities (Upgrades/Renewals)

[Just-In-Time] Low Touch: Outcome Focused

- Replies to Email Campaigns
- Support Tickets
- Community Moderation
- Scoring & At-Risk Monitoring

[Automated] Tech Touch: Fully Scalable

- Chatbot/Help Center
- Automated Emails
- Video Tutorials

THE EXCEPTIONAL EXPERIENCE

Professional Insights:

Some customers are happy with self-service and don't require a one-on-one interaction with a CSM. Therefore, segments should align your customer profile with the experience they should be getting. Your segmentation strategy can still include the ARR (annual recurring revenue) threshold, but it should also (heavily) account for customer preferences and growth potential.

Communication Cures All

The more often you engage with your customers in a way that genuinely benefits them, the more revenue your company can generate. However, it's crucial to ensure that your communication serves their best interests rather than solely focusing on your own gains. People can easily detect insincerity from a distance.

This is a domain where the lines between Sales, Support, and Client Services often overlap. Initial expectations are set during the sales phase, making it vital for everyone across departments to have a clear understanding of what has been promised to the client.

To put it simply, your product should not just attract potential customers but also fulfill the needs of existing customers.

As soon as a gap appears between the client's expectations and what is actually delivered, the relationship becomes vulnerable. This is where precise and truthful communication becomes critically important.

We'll delve into the concept of "Churn" in the next section, but it's important to know that various stages in the client journey can lead to cancellations, refunds, or an overall unsatisfactory experience.

MICHAEL G. WALKER

This is why it's essential to set clear objectives from the beginning of the relationship. This enables the Client Services team to remind the client of their progress and the value they've gained. You want to be able to say, "Remember when you expressed a desire to solve this problem, and look at you now—you've achieved it!"

The Customer Journey

As the relationship progresses, clients will transition through different phases, each demanding different proactive approaches to address their evolving needs.

This is where having a well-defined client journey is invaluable. To measure and enhance the process effectively, it must be consistently executed. This consistency is key because it helps pinpoint variables, both positive and negative, stemming from the process and allows for further optimization.

In essence, if the customer journey is constantly changing, you won't be able to identify the factors driving the outcomes.

From Onboarding through Adoption, and into the Expansion and Advocacy phases, work to identify specific junctures that might slow down or disrupt the customer journey. Then, develop operational procedures to address these issues in advance. This proactive approach paves the way for a smoother and more satisfying customer experience.



Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

THE EXCEPTIONAL EXPERIENCE

Why, What, When

Most of the actions that influence your relationship-building efforts benefit from being well-timed with your customers' progress. Here are a few examples:

- Proactively reaching out on a regular basis
- Checking in after a problem was solved
- Following up on previous interactions
- Identifying up- and cross-selling opportunities
- Providing information on new features or events.

Voice of the Customer (VoC)

It has been reported that as much as 95% of consumers believe customer service is essential for brand loyalty, and you can't have good customer service without practiced, informed listening.

Over 90% of consumers rarely agree on anything, so being better at listening isn't just the first step towards VoC; it's also a way to ensure your entire business is more aligned with customers' needs and wants.

There's no shortage of tools that can be used for this, but at the end of the day, it's what you do with this information that is critical to the success of your business.

MICHAEL G. WALKER



Professional Insights:

Loyalty is all about building a strong bond, and creating that bond is all about emotions. It's the sentiment that tells us we share a connection, where I know you, and you know me. It's all about nurturing an open, truthful, warm, and helpful relationship with your customers. Think about how frequently you can engage with your customers on a more personal level as a team, and brainstorm ideas to make it happen.

Technology & Client Profiles

As customers navigate their journey with your brand, a constant flow of information is at your disposal. The ability to gather and centralize this information for analysis is essential in gaining a deeper understanding of the overall customer experience.

THE EXCEPTIONAL EXPERIENCE

While many businesses rely on metrics, customer services place significant emphasis on forward-looking or predictive analytics. This approach sets customer services apart from other departments.

Time spent by an expert with a satisfied customer often leads to positive outcomes, like higher customer satisfaction scores and more referrals. However, the value of time spent with a struggling customer to ensure their continued loyalty can be even greater. This is where being analytics-focused with the right predictive data becomes crucial for driving an effective customer services team.

The Power of Prediction

Predictive analytics should be the primary focus of customer success, both in terms of the analytics and the people involved. Responsiveness is undeniably important, especially for customers who appreciate it, but predictability takes this a step further—it's about knowing who to reach out to before they need to contact you.

There's no shortage of Software as a Service (SaaS) solutions designed to manage clients. Most Customer Relationship Management (CRM) platforms like Active Campaign, Hubspot, and GoHighLevel are excellent for overseeing various aspects of the customer journey, including email communication and support tickets.

However, specific solutions tailored to subscription-based or recurring business models, often seen in SaaS products, are uniquely equipped to monitor client health metrics such as adoption and usage.

The choice of platform depends on your business model's complexity and pricing structure. These secondary, Client Services-focused platforms

MICHAEL G. WALKER

offer a more detailed perspective on your membership base, highlighting opportunities for growth and client retention.

Delegating Bandwidth - Simplicity Matters

Delegating bandwidth (especially as a Client Services Manager) can be challenging. The best way to address this is to use data to identify at-risk customers and then have clearly defined strategies for delegating resources and time based on client value and needs. In simple terms, you can identify action plans by client status.

In the early stages, this can be achieved with a simple “Orange, Yellow, Green” categorization, as seen in the following graphic:

 Doing Well	The customer is doing well!	Continue ongoing, standard customer nurturing to grow customer.
 TAKE NOTICE	The customer is somewhere in between. Left unchecked they might deteriorate to poor health.	Monitor customer and continue driving towards more product value.
 REQUIRES ATTENTION!	The customer is not doing well. Left unchecked they will likely cancel their subscription at the next renewal event.	Define & execute get well plan immediately.

In the upcoming pages, we'll delve into SaaS and tools, but it's important to start with simplicity, especially in the early stages of business development. Having “more data” doesn't necessarily equate to better outcomes. What truly matters is actionable data—information you can use

THE EXCEPTIONAL EXPERIENCE

to enhance your understanding of your client's behavior and interactions with your products and services.

Ultimately, the objective should be to create or use the simplest methods and tools possible while still achieving the desired end result (i.e., a detailed understanding of your clients' journey post-onboarding), and this should be based on the stage of sophistication your business is in.

CS Economics, Health Scores & KPIs

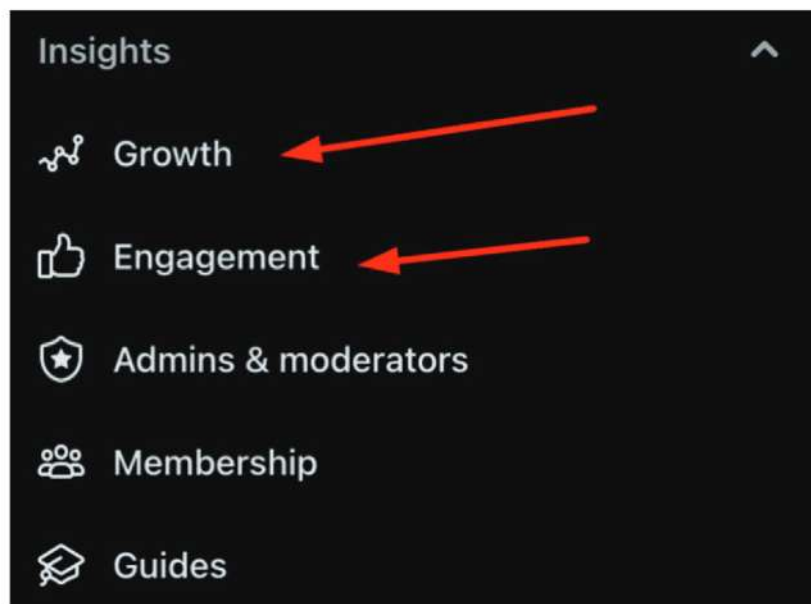
The objective of implementing client Health Scores is to better codify "risk" and quantitatively identify your most at-risk customers and provide enough lead time for the CS Team to positively address them.

The importance of having data-savvy people on your team or within your organization to help formulate and monitor client health scores cannot be overemphasized. The more relevant data that customer-facing teams have available to them, the better positioned they are to drive revenue for your organization.

Measuring client health doesn't guarantee you success, but it does help you become more proactive. Client Health Scoring systems are a great way to trigger different SOPS/Playbooks that your Client Services and Support teams can consistently deploy.

If you're running a Facebook Group, one of the simplest ways to incorporate this is by using the Admin tools in your Facebook Group and monitoring for engagement and growth:

MICHAEL G. WALKER



If you use the same community platform we do called Circle, it has built-in activity scoring that provides great insights into the overall “health” of your membership. This offers a much higher resolution look at the status of your members and where attention should be applied.

Here’s a link to their platform:

<http://wealthyconsultant.com/community>



Scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

THE EXCEPTIONAL EXPERIENCE

Activity score ⓘ  9.22

Presence ⓘ 7.88

Contribution ⓘ 9.59

Participation ⓘ 9.53

Connection ⓘ 9.89

Categories of Measurement

- Adoption - How often is your customer using your product?
- Outcomes - Are you able to quantify when the customer reaches desired outcomes?
- Time to Value - How quickly does your customer see results?
- Customer Sentiment - NPS, CSAT, CES scores.
- Relationship Strength - Survey data and cadence of communication.
- Support - Is the customer using the support features and team?
- Churn - Customers and Monthly Recurring Revenue lost.

MICHAEL G. WALKER

Standardized Scoring Systems

The client services industry has developed several department-specific KPIs designed to help monitor and segment customers based on overall sentiment, activity, predicting “health scores” and churn metrics.

Below are the three dominant scoring systems used across almost all verticals regarding CS. We’ll break these down in more detail in the next lesson.

- **Net Promoter Score (NPS)** is a widely used metric in customer satisfaction and loyalty measurement. It assesses the likelihood of customers recommending a company’s products or services to others.
- **Customer Satisfaction (CSAT)** is typically assessed through surveys or feedback forms that ask customers to rate their satisfaction on a scale, often from 1 to 5 or from 0 to 10, with higher numbers indicating greater satisfaction.
- **Customer Effort Score (CES)** is a metric businesses and organizations use to measure the ease and efficiency with which customers can achieve their goals or resolve issues when interacting with a company’s products, services, or support channels.

THE EXCEPTIONAL EXPERIENCE

Deploying Data-Based Decisions*The 4 Phases of Data Science for Client Services:*

When it comes to data, “more” isn’t necessarily better. In fact, it can cloud decision-making if not provided with enough context. Keep it simple and think in terms of data science sophistication levels based on the size of your membership and the people/bandwidth you can apply to your Customer Service Department.

Only after determining your organization’s maturity level, the problems you need to solve, and the investments you need to make in data science, will you truly be able to act on your data. Unfortunately, many Customer Service departments skip this step and immediately jump to the next new shiny tool or platform instead of starting small.

KPIs To Be Tracked During Onboarding

- Time to Value (TTV) - how quickly your customers reach the “aha!” moment.
- Milestones completed on time - indicate how smoothly your customer’s journey is going.
- Training attendance - indicates whether your customer is engaging with your educational content and resources.
- Customer Effort Score (CES) - how much effort a customer needs to put in to resolve their issue.
- Customer Satisfaction Score (CSAT) - how happy your customers are with your product or service.

MICHAEL G. WALKER

Metrics To Be Tracked During Adoption Phase

- Customer health scores - a customer success metric that's usually tied to product features and how your customers use them.
- First contact resolution rate - how long it takes you to solve customer issues.
- CSM sentiment - your CSM's "gut feeling" about your customers' success.
- Customer Effort Score (CES).

Metrics To Be Tracked During Renewal Phase

- Monthly Recurring Revenue (MRR) - the amount of predictable revenue you can expect to receive on a monthly basis.
- Customer Lifetime Value - the total amount a customer spends over the whole period of being your customer.
- Net Promoter Score (NPS) - a measure of how likely your customers are to recommend your product.
- Support Ticket Volume.
- Customer Churn Rate.

The Client Services Manager (CSM)

The #1 Priority of a CSM

Retaining customers and eliminating churn are a CSM's number one responsibilities. Customer retention is the one metric that solidifies whether we're doing a good job.

THE EXCEPTIONAL EXPERIENCE

One of the jobs of a great CSM is to always be asking the question, “Why does this customer need my help right now? What could we do or what should we have done differently upstream so I would not be needed for this task?”

In many ways, the Client Services Manager will share common traits with your Sales Director role with a little bit more of a service orientation instead of a closing mentality.



MICHAEL G. WALKER

Key Attributes of a CSM

A world-class customer success manager possesses a combination of personality traits, professional attributes, and skills to effectively ensure customer satisfaction, retention, and growth.

Personality Traits:

1. **Empathy:** Customer success managers need to understand and share the feelings of their customers, demonstrating a genuine concern for their needs and challenges.
2. **Communication Skills:** Excellent verbal and written communication skills are crucial for conveying information clearly, building rapport, and resolving issues effectively.
3. **Patience:** Dealing with various customer issues and concerns requires patience, especially when customers are frustrated or facing difficulties.
4. **Problem-Solving Skills:** Identifying and solving customer problems or pain points is essential for customer success managers.
5. **Positive Attitude:** Maintaining a positive outlook and mindset is crucial to inspire customer confidence and trust.
6. **Adaptability:** The ability to adapt to changing customer needs and situations is key, as every customer and company is unique.
7. **Proactiveness:** A world-class customer success manager proactively identifies potential issues and opportunities for improvement before they become major problems.

THE EXCEPTIONAL EXPERIENCE

Professional Attributes and Skills:

1. **Product/Service Knowledge:** In-depth knowledge of the company's products or services is fundamental to effectively assist and guide customers.
2. **Customer Advocacy:** Advocate for the customer within the organization, ensuring their needs are met and their feedback is considered.
3. **Data Analysis:** The ability to analyze customer data to gain insights and make data-driven decisions to enhance customer satisfaction and retention.
4. **Onboarding and Training:** Skill in effectively onboarding new customers and providing them with the training and resources they need to succeed with the product or service.
5. **Relationship Building:** Building and maintaining strong customer relationships is vital for customer success managers. This includes both one-on-one relationships and fostering a sense of community among customers.
6. **Time Management:** Efficiently managing time and prioritizing tasks is essential, as customer success managers often juggle multiple customers and responsibilities.
7. **Cross-Functional Collaboration:** Collaborating with other teams, such as sales, marketing, and product development, to align efforts and improve the customer experience.

MICHAEL G. WALKER

8. **Technical Proficiency:** Familiarity with customer success software and CRM tools to track customer interactions and progress.
9. **Feedback Collection:** Skill in collecting and analyzing customer feedback to continuously improve products, services, and customer success processes.
10. **Goal-Oriented:** Setting clear goals and key performance indicators (KPIs) for customer success and working toward achieving them.
11. **Conflict Resolution:** The ability to manage and resolve conflicts with customers in a professional and satisfactory manner.
12. **Continuous Learning:** Being open to continuous learning and staying updated on industry trends and best practices.
13. **Product Knowledge:** Keeping up-to-date with the company's products or services and any updates or changes.

CSM Scorecard

Every CSM should have a specific set of skills, behaviors, and attitudes. They need to be great communicators and terrific teachers. They need incredible time management skills and excel at building relationships. They also need to have grit, tenacity, and confidence. They need to be enthusiastic.

THE EXCEPTIONAL EXPERIENCE



For more on this topic, including a CSM Job Description - scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

The Role of the “Strategic Advisor” (CSM 2.0)

An alternative title for a Client Services Manager (CSM) could very well be “Strategic Advisor.” This distinction is a key factor that sets it apart from a role in the Support team. Strategic Advisors focus on becoming invaluable resources. Their value proposition isn’t solely tied to the product or service your company offers; it’s centered around “them.” This distinction is crucial because it makes it more challenging for your customers to leave. When they do leave, they’re also leaving behind their trusted Strategic Advisor.

This more advanced role is typically best suited for the High Touch segments of your customer base. In this capacity, a Strategic Advisor should fully immerse themselves in the competitive landscape of the client’s industry. They should actively follow blogs, track influential figures in the field, and attain comprehensive knowledge about the client’s specific market. This level of dedication enhances the value proposition to the client exponentially.

For example, consider this quote from a former client who experienced the benefit of a CSM functioning as a true Strategic Advisor:

“I was once on the client side and worked with a CSM who was so invested in my business (and understood my challenges and industry so well) that they were able to point to other products and services in the market that existed to help me. These weren’t products their company

MICHAEL G. WALKER

offered, just products the CSM knew I needed. That CSM was the greatest CSM in the whole world to me.”

A Strategic Advisor has the capability to guide clients through the thought processes, often correcting misunderstandings, about what is truly necessary to achieve their ultimate goals. They can break down complex information into manageable components to arrive at conclusions and offer transformative suggestions. They are adept at organizing their inbox, calendar, and their thought processes. They are comfortable with data and can extract insights to make well-informed decisions within tight timeframes. They can differentiate between what's important and what's urgent, knowing what to prioritize. Good Strategic Advisors allocate time in their schedules to continually invest in themselves through books, events, courses, and mentorship.

To be considered a true Strategic Advisor requires an even deeper set of skills:

1. **Assertiveness.** When leading a client to success, you have to have the confidence to say no. You are the expert, both on your product and your industry. You must be able to coach clients through the thinking processes (and often misinterpretations) of what is truly required to reach their end objectives. It's quite common for a client to think they know what they want or what tasks are required when, in fact, they may not be correct. A Strategic Advisor knows how to identify these gaps, educate the client when needed, and navigate the steps forward.
2. **Empathy.** Customers want to be heard, understood, and recognized. They want to be validated. The ability to truly listen

THE EXCEPTIONAL EXPERIENCE

is critical. Empathy is one of the most essential skills for employees today, especially in client services.

3. **Relational Intelligence.** The ability to quickly and accurately read others and understand their motivations is key. A CSM must be able to build rapport quickly.
4. **Analytical.** For a CSM to become a Strategic Advisor, being comfortable with data is essential. They must possess the analytical skills to mine data and then interpret that information to make informed decisions within time-sensitive environments. There's nothing more empowering than informing a client about their business using data they didn't know existed. Being able to pinpoint problems and opportunities using data received from the customer greatly elevates the value of that relationship in the customer's mind.
5. **Decisiveness.** A Strategic Advisor has the ability to deconstruct information into smaller categories in order to draw conclusions and make transformational recommendations.
6. **Prioritization.** The ability to prioritize their inbox, calendar, and their own thinking is paramount. Differentiating the important from the urgent and knowing what to work on first is mission-critical.
7. **Personal Development.** Good Strategic Advisors specifically dedicate time in their calendars to consistently invest in themselves through books, events, courses, and mentors.

MICHAEL G. WALKER

Professional Insights:

Client Services and Support SOPs (standard operating procedures) should be accessible to all team members, regardless of department, so that there is a team-wide understanding of the overall client journey and the intended experience.

Operationalizing Client Services is about developing clearly defined processes and steps within the client journey in a way that makes it easy to identify when something unique happens and/or requires attention.

NPS

The Net Promoter Score (NPS) is a widely used metric for evaluating customer satisfaction and loyalty. It gauges the likelihood of customers recommending a company's products or services to others. Typically, NPS is determined through a simple one-question survey asking customers, "On a scale from 0 to 10, how probable are you to recommend our company, product, or service to a friend or colleague?"

Based on their responses, customers fall into three groups: Promoters (those who score 9-10), Passives (those who score 7-8), and Detractors (those who score 0-6). To calculate NPS, you subtract the percentage of Detractors from the percentage of Promoters.

The resulting NPS score offers valuable insights into overall customer satisfaction and can serve as a reference point for evaluating customer loyalty and enhancing products or services.

It's important to note that NPS measures customers' perceived behavior at a particular moment, but it doesn't necessarily align with their

THE EXCEPTIONAL EXPERIENCE

actual behavior. Often, the numbers don't match up because people don't always follow through with their intentions. Therefore, it's not advisable to place excessive reliance on an NPS score solely because a high percentage of respondents claim they will recommend your product. This doesn't guarantee that they will do so.

Measuring NPS is beneficial, but it represents just one component of the larger experiential puzzle. Here's an example:



How likely is it that you would recommend The Wealthy Consultant to a friend or colleague?



Promoter



Can you tell us why you scored us so highly?

I love you guys! My business has doubled. Profit is up 138% YTD from last year. I tell everyone about MDC.

MICHAEL G. WALKER



How to Calculate NPS

To calculate NPS, survey customers and see how likely they are to recommend your business on a scale of 0-10. Organize responses into Detractors (0-6), Passives (7-8), and Promoters (9-10). Then, subtract the percentage of Detractors from the percentage of Promoters to determine your overall Net Promoter Score.

THE EXCEPTIONAL EXPERIENCE

NPS Example

Let's see this in practice with hypothetical numbers. If you survey 100 customers, and the result is made up of 70 promoters, 10 passives, and 20 detractors, your NPS would be 50.

NPS Calculation Example

$$\begin{array}{ccc} \begin{array}{c} 70\% \text{ Promoter Score} \\ (\text{Number of Promoter Scores} \\ \div \text{Total Number of} \\ \text{Respondents}) \end{array} & - & \begin{array}{c} 20\% \text{ Detractor Score} \\ (\text{Number of Detractor} \\ \text{Scores} \div \text{Total Number of} \\ \text{Respondents}) \end{array} \\ & = & \text{NPS: 50} \end{array}$$


As the above calculation illustrates, $70\% - 20\% = 50\%$

CES

CES stands for “Customer Effort Score.” It is a customer satisfaction metric used by businesses and organizations to measure the ease and efficiency with which customers can achieve their goals or resolve issues when interacting with a company’s products, services, or support channels.

MICHAEL G. WALKER



**The Wealthy Consultant
made it easy to handle my issue.**



Easy



The CES metric is typically assessed using surveys or feedback forms where customers rate their experience on a scale, often from “very easy” to “very difficult.” A lower score indicates a more challenging experience, while a higher score suggests an easier and less effortful interaction.

The core concept behind CES is that reducing customer effort can boost satisfaction and loyalty. Analyzing CES scores and feedback allows businesses to pinpoint pain points in the customer journey and simplify processes, making it easier for customers to achieve their goals and ultimately enhancing the overall customer experience.

In terms of support tickets, customers prioritize efficiency over being delighted. Their main goal is to quickly resolve their issues and get back to

THE EXCEPTIONAL EXPERIENCE

their lives. The aim is to minimize obstacles hindering customers' ability to do just that and reduce customer effort.

Rather than aiming for customers to say, "You exceeded my expectations," the focus should be on getting customers to say, "You made that easy."

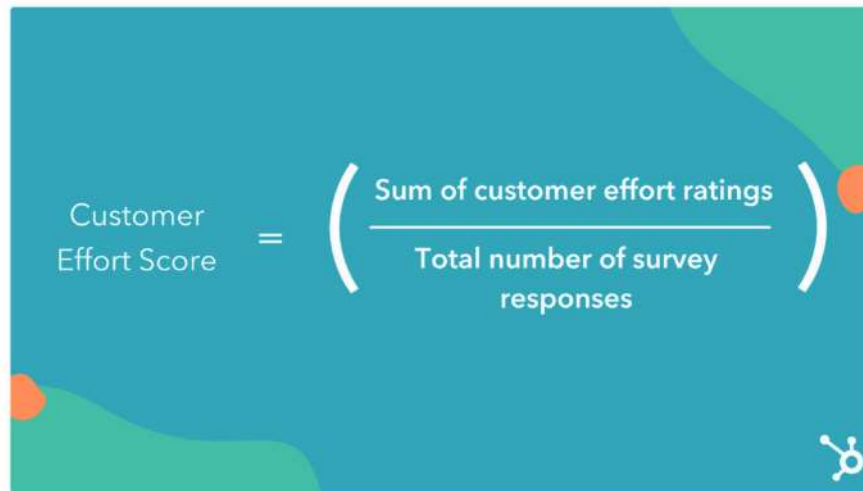
"Effort" isn't solely about what customers have to do; it's largely about how they feel. In simple terms, what matters most to customers when assessing effort is what they must do to resolve their issue and how they feel during and after the interaction. Effort is one-third about actions and two-thirds about feelings.

To make the most significant and quickest impact on improving the customer experience in your company, the focus should shift from streamlining the physical aspects of the service experience to emphasizing the emotional or "feel" side of effort.

MICHAEL G. WALKER

Customer Effort Score Calculation

The formula (shown in the image below) for calculating your customer effort score is the sum of all the customer effort scores divided by the total number of survey responses. The result will give you an average amount of effort your customers put in when interacting with your business.

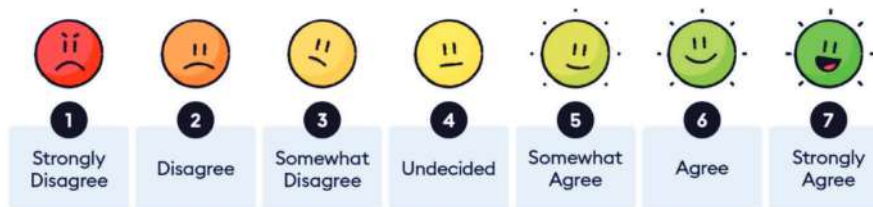


The image shows a formula for calculating the Customer Effort Score (CES) on a teal background with green and orange abstract shapes. The formula is: Customer Effort Score = (Sum of customer effort ratings / Total number of survey responses). A small white icon is in the bottom right corner.

$$\text{Customer Effort Score} = \left(\frac{\text{Sum of customer effort ratings}}{\text{Total number of survey responses}} \right)$$

How do you agree with the following statement:

The company made it easy for me to solve my problem.



A CES of 5.0+ is good.

CHAPTER 5

Unlocking Loyalty: Client Retention Frameworks

Mitigating Churn

What is Churn?

Churn refers to the rate at which customers or clients stop using a company's products or services and discontinue their relationship. It is a critical metric for businesses, particularly in industries with subscription-based or recurring revenue models, as it directly impacts the company's revenue and growth.

Customer churn, also known as Subscriber or "Logo" churn, represents the rate at which your customers cancel their subscriptions. Here's how we can calculate it:

$$\text{SUBSCRIPTION CHURN} = \frac{\text{CANCELLATIONS in period}}{\text{SUBSCRIBERS at beginning of the period}}$$

MICHAEL G. WALKER

For example, if you had 100 subscribers on January 1st and lost 5 during the month, your customer churn rate for January is 5%. Keep in mind that new signups should not be taken into consideration when calculating your churn rate. So, if you've lost 5 customers but also gained 5 new signups, your churn rate remains 5%, not 0%.

Why Churn Matters

Getting new customers comes with a hefty price tag. It's an expensive endeavor, regardless of your market's size. Hence, retaining customers becomes a fundamental requirement, as competing with a high churn rate is a losing battle.

Bain & Company, a Boston-based management consulting firm, conducted a study that revealed a mere 5% boost in customer retention can result in profit increases ranging from 25% to a staggering 95%.

Here's an eye-opener: Forbes Magazine reports that acquiring new customers costs a whopping six times more than maintaining current ones.



For more on this topic, scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

The (True) Cost of Churn

How much effort and expense do you allocate to wooing potential customers, spending money on acquiring new clientele for your business, and directing personnel toward marketing and sales? Now, consider this

THE EXCEPTIONAL EXPERIENCE

vital question: How much dedication, investment, and resources do you commit to retaining your existing customers?

Irrespective of your industry, location, or business size, you're likely witnessing a loss of roughly 20% to 70% of your freshly acquired customers within the initial 100 days of the customer relationship. While companies invest substantial resources in gaining new customers, they often hemorrhage these customers after the initial sale.

Here's a revealing example: If a typical Software as a Service (SaaS) business experiences a monthly churn rate of 2% to 3%, it needs to achieve annual growth of at least 27% to 43% to maintain the same revenue.

Obtaining a new client is a costly endeavor. In contrast, retaining existing clients comes at a significantly lower cost.

In a recurring business model, the challenge of churn grows exponentially as the company expands. As your company grows, the churn rate escalates much faster than your capacity to acquire new revenue.

For instance, losing 10% of \$1 million in revenue amounts to \$100,000 in lost revenue. To recoup that revenue, I must generate \$100,000 in new business just to break even. However, if my revenue reaches \$1 billion and I lose 10%, I'm faced with a shocking loss of \$100 million. This poses a much more formidable challenge.

Think about the numerous phone calls, transactions, customers, and activities required to compensate for that churned revenue. And all of this effort only brings you back to square one.

Churn magnifies over time, while new customer acquisition follows a more linear trajectory. As your company scales, it becomes increasingly

MICHAEL G. WALKER

challenging to offset churn solely by adding new customers. The real solution lies in generating more revenue within your existing customer base.

Making The Most Out of a Bad Thing

One common reason for business struggles is a reactive approach rather than a proactive one. Instead of trying to foresee and avert issues, they often rely on their customer support teams to solve problems after they arise.

Perhaps the most significant mistake is failing to inquire why lost customers departed. Instead of making educated assessments, they often resort to guesswork, which rarely provides a clear understanding of the issues or viable solutions.

In nearly all subscription models, a certain level of churn is inevitable. The higher the Lifetime Value (LTV) of each client, the greater the need for personalized attention. Losing just one client at the upper end of this spectrum can prove exceptionally costly. It's imperative to allocate your team's resources effectively and derive lessons from every churn case.

Once a customer departs, a comprehensive examination of their entire journey is essential. It's crucial to identify both successes and failures and conduct this analysis for as many customers as possible to identify recurring patterns. These patterns hold the key to preventing future losses.

THE EXCEPTIONAL EXPERIENCE

It's Not You, It's Me

Retention is a customer-driven event. When most of us think of “retention,” we believe we have to “do something,” but retention actually means the customer is making a choice about whether to stay with your company. We can pull a few levers here and there, but ultimately, it's the customer who has to choose to stay.

“Just because you’ve done a good job does not by default mean the customer will stay.”

The customer doesn't choose to stay with you because of the historical value you've driven for them - they stay because of the vision and promise of the future you have painted for them. They trust you because you have driven value in the past, but they will continue to work with you because of the future value you promise to provide.

If a customer chooses not to renew, even if you've provided excellent service, it's primarily because of their perception of the future, not the past. Performing well in the past doesn't guarantee their loyalty, so complacency is a risk to avoid. To retain customers, you must demonstrate your ongoing commitment to delivering future value.

Change really is your enemy. It's very hard to maintain the level of value, or the perception of value, that you originally had with even your best customers. It's not that the value has disappeared. In fact, the product's potential value has almost certainly increased as more effort is put into it and more features are developed. However, the end user's perception of value often decreases as the novelty wears off or the value begins to be taken for granted.

MICHAEL G. WALKER

The battle to retain and increase the value of your existing customers is never-ending. Embracing this challenge is your only choice.

Professional Insights:

The customer doesn't choose to stay with you because of the historical value you've driven for them - they stay because of the vision and promise of the future you have painted for them. If you can identify a problem the customer didn't know they needed solved, you've provided future value.

Advocacy & Feedback Collection Methods

Client Services is the guardian of your company's customer base, a gateway to new opportunities, and a creator of lifelong advocates among your customers. When operating at its peak, this department becomes the most effective sales and marketing engine your business can have.

When your customers become your referral source, it eliminates marketing expenses and significantly elevates the quality of incoming customers.

Collecting Customer Feedback

Few things are as frustrating as being asked for your opinion and then feeling like your input was disregarded. Sending surveys is counterproductive if you can't respond promptly to negative customer feedback. It conveys that you're surveying for internal purposes rather than genuinely listening to the customer.

Customer retention hinges on a continual focus on achieving the customer's desired outcomes.

THE EXCEPTIONAL EXPERIENCE

Client Advocacy

Client advocacy is more than a pat on the back or a thank-you note from satisfied customers. It's about leveraging positive feedback to your advantage.

Requesting referrals should be well-timed and genuinely expressed. The aim is to gain an honest evaluation of your performance. This feedback informs operational improvements and serves as a marketing tool to attract potential customers. When used effectively, testimonials have a substantial and measurable impact on sales.

Client advocacy can also reinforce other client relationships. For customers struggling to find value, sharing another customer's success story can prompt them to reconsider their approach. They might think, *Why isn't this working for us? What are we doing differently?*

Champion Programs, such as exclusive clubs or groups, can be established to recognize and incentivize your clients. These programs offer extended benefits and access for a specified duration, contingent on meeting certain criteria. Creating a formal program enables scalability, operationalization, and tracking.

While marketing teams often get involved in soliciting advocacy and testimonials, customer service should take ownership of this aspect of marketing. They are the face of the brand in the eyes of customers and work directly with them. CSMs (Client Services Managers) are responsible for extracting valuable insights and sharing them with other departments to maximize both internal and public-facing opportunities that testimonials offer the organization.

MICHAEL G. WALKER

Client advocacy provides a competitive edge, aiding in the acquisition of new clients with minimal cost and reinforcing existing relationships.

Feedback Methodologies

- Case Studies: It's imperative to remember that these are about their journey and their story. It should feature their skills, capabilities, and decision-making. A great case study is NOT a 10-page article about how great your product is. *Feature Your Client*.
- End of Module Surveys.
- QBRs: Quarterly Business Reviews are a great time to source testimonials (assuming things are going well and that objectives are clearly being realized from the client's perspective). If things are not going well, use that to your advantage by making the next QBR prove your ability to help turn things around.
- Live Events/Calls: One of the best drivers for advocacy and referral business is to invite external prospects and customers to internal events/calls with top-tier clients who show strong adoption and success with your products/services.

Advocate Types

- Educators: These people like to share knowledge, tips and tricks. They're outgoing and like to help others.
- Validators: They're trustworthy, credible people. Typically well-spoken and balanced. They're willing to go on record for something they feel strongly about.
- Status Seekers: Usually, these people have large networks both on social media (LinkedIn, Facebook, etc.) and in the real world.

THE EXCEPTIONAL EXPERIENCE

- **Collaborators:** These people are usually influential and willing to give their time and energy to something helpful.

Some advocates prefer testimonials, and others thrive at live events. Identifying your advocate type will help you determine how they can best promote your solution.

Imagine the Whole World of Customers, Divided Into Four Basic Categories:

- **The Feeler** - who leads with their emotional needs.
- **The Entertainer** - who loves to talk and show off their personality.
- **The Thinker** - who needs to analyze and understand.
- **The Controller** - who just wants what they want, when they want it.

Customers seek recognition and appreciation for their patronage. They want to feel valued by your brand. The concept of “Appropriate Reasons” to request a testimonial or even a referral should be carefully considered and employed strategically. For instance, is it appropriate to request a testimonial immediately after delivering a product? It can be, but timing is crucial.

If your product or service doesn't yield benefits for 30, 60, or 90 days, soliciting a testimonial a week after the purchase doesn't make sense. However, reaching out promptly to ensure customers understand the product, have no queries, and don't require customer service is entirely appropriate. This timing, with a valid reason, creates a meaningful interaction.

MICHAEL G. WALKER

To identify an “Appropriate Reason,” ponder what additional value you can provide to enhance your customers’ lives. Here’s a clue: It’s always appropriate when it’s not self-serving. When your actions serve their interests over your own (such as “buy this,” “review this,” or “give us this”), you must be discerning about the right place and time.

Professional Insights:

When receiving a testimonial, take the time to send the person a message (sending a handwritten note via snail mail will make an even greater impact).

Optimization via Feedback Loops

Surveys

You need to be conscious of how often your customers are being surveyed (and how long those surveys are), but more significantly, you need to pay attention to how their feedback is being recognized and utilized. It’s what you DO with the feedback that matters.

If you don’t have time to follow up with a customer about their feedback, don’t bother. If a customer has something to say and it isn’t being heard, that’s a red flag to them and you.

Team Communications

One of the primary responsibilities of Support and CS is to be the voice of the customer within the organization and share the insights with the team. From marketing, sales, and product development to internal

THE EXCEPTIONAL EXPERIENCE

operations, all departments benefit by celebrating client wins and strategizing how to remove friction from the customer's world.

No Guessing Required, Just Ask Them

Your customers are a much more valuable source of insight than any product development team or think tank. Just ask them, “What do you love? What do you hate? What do you wish you could do? Which feature do you wish you had known about sooner?”

Dealing with Negative Feedback

No matter how much time, effort, and energy we put into providing an exceptional experience, there will always be the opportunity for some to come away with something negative to say. It's just part of the job! The key is to learn from this feedback and turn it into a positive flywheel of improvement for your team's processes.

The key is to treat all negative feedback as simply another data point—not a personal attack (although it can sometimes feel like it is!). This is where having high emotional intelligence and the ability to think and react with a steady mind becomes so important.

In numerous instances, dissatisfied customers have the potential to transform into your most enthusiastic supporters by dedicating a bit more time and attention to addressing their needs. Providing a platform for them to be heard can significantly mitigate negative sentiments.

At the end of the day, though, you can't win them all. So, when negative feedback is received, have pre-thought-out processes and

MICHAEL G. WALKER

responses ready so that in the heat of the moment, you're not forced to "come up with what to do or say" on the spot.

It's best to think through possible scenarios in advance and prepare your team for them so that if/when faced with an upset customer, they already feel prepared for what to say and do next.

This is especially important training for Customer Support teams

Professional Insights:

During the adoption phase, which occurs after onboarding and as your customers start using your product or service, it's a great time to ask if they'd be willing to serve as a reference for your company. While securing a reference at this early stage would be a win, the primary objective is to uncover potential red flags—early indicators that expectations might not align with reality.

When a customer enthusiastically agrees, saying, "Absolutely," it marks a significant milestone, signifying their high level of satisfaction with your company.

Conversely, if a customer hesitates and responds with, "No, I don't think so. We're in the early stages. Let's see how everything plays out," it raises a red flag, suggesting potential issues in the making.

CHAPTER 6

Mastering CS: Training & Development**Building a Client-Centric Culture**

For more on this topic, scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

Customer success should be deeply ingrained in your company's culture. It's not just the responsibility of one team; it should be a shared commitment that permeates the entire organization. This holistic approach is particularly evident in Client Services, where various departments play a role in shaping the customer's experience and perception of value.

The goal is to make customer success a company-wide philosophy, not just limited to one team. Each member of the organization should understand what it means for them within the context of their role and daily responsibilities. This shared commitment ensures that everyone contributes to delivering a top-notch customer experience.

“In a recurring revenue business, there's no such thing as post-sales. Every single activity is a pre-sales activity.”

MICHAEL G. WALKER

Whether it's the Sales team, Support Reps, or Client Services Manager, every interaction with a client is crucial, as it influences the ongoing relationship and potential business opportunities. Resolving issues promptly is essential, especially considering the impact on deals in progress.

In a recurring business model, all team members involved in Customer Success and Support must consider themselves as part of the pre-sales effort, not just post-sales. Prioritizing great customer experiences and helping customers derive true business value from your products pays off in both subscription and non-subscription business models.

Remember that the term “customer success” is essentially synonymous with *loyalty creation*.

Professional Insights:

Leverage your client experience systems as a **Unique Service Proposition (USP)**. Unlike product features, design elements, functionalities, and materials, it is very difficult (if not impossible) to “copy” another business’s client experience, making it the ultimate differentiator between you and your competitors.

CS Org Chart & Systems Efficiency

Evolution of the CS Team

When determining how many Customer Success Managers (CSMs) your business needs, it's essential to dispel a couple of long-standing myths. The outdated ideas of “1 CSM per \$2M in ARR” and vague estimates like “20 to 200 CSMs” simply don't cut it. The correct ratio

THE EXCEPTIONAL EXPERIENCE

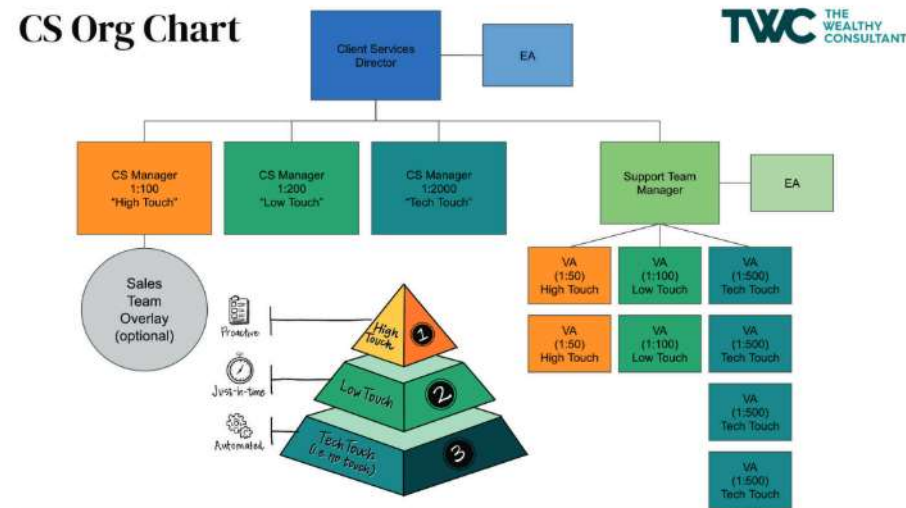
depends on your unique business circumstances, especially the complexity of your service delivery model.

To realistically determine how many accounts a CSM can handle proactively, consider factors like product complexity, customer segmentation based on their relevant experience, and the type and level of coverage needed. Focus on meeting your customers' expectations rather than what you can offer.

For each coverage model, identify the maximum number of accounts a CSM can effectively manage. This process may involve some trial and error rather than a one-size-fits-all formula.

For instance, if you find that a CSM can handle 10 accounts in the first customer segment, and you have 50 clients in that segment, you'll need 5 CSMs. Repeat this analysis for each segment to determine the total number of CSMs required.

CS Org Chart



MICHAEL G. WALKER



For more on this topic, scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

When You're First Getting Business Off The Ground

What to do: Set up a workflow for managing customer requests • Set up regular meetings to go over common issues and build fixes into your product roadmap; • Use customer support as a tool to learn more about your customers and improve your product.

What NOT to do: Obsess over metrics. You'll get a lot of mixed data at this stage. Keep your focus on the end goal, not metrics.

When Your Business is in Growth Mode

What to do: Organize your communication channels and designate the main channel where customers can reach you for help. • Start using NPS/CES to assess the quality of each interaction with your customers. • Consider expanding the self-service documentation (blog articles, chatbots, etc.)

What NOT to do: Churn prediction—at this stage, you don't have enough data to identify patterns, so your predictions won't be accurate. Just focus on delivery and the client experience: that will move the needle at this stage.

When Business is Scaling Fast

What to do: Turn metrics into dashboards and analyze trends. • Think about and start writing self-service documentation (if you have a

THE EXCEPTIONAL EXPERIENCE

solid number of customers, you should know what the most common issues and frequently asked questions are) • Start adding additional communication channels. If, at the previous point, you've established email as your main communication channel, you can also add phone support or open a dedicated Slack channel for your customers. • Evolve to a tiered coverage model to handle more clients without overwhelming your CS team: High, Low, and Tech Touch.

What NOT to do: Hacks, patches, and workarounds—avoid the same issues resurfacing again and again. • Tolerate an unhealthy team culture. • Lose customer focus—don't get caught up in analyses and metrics.

CSM Comp Plans

Understanding how to compensate Customer Success Managers (CSMs) is a crucial responsibility for any customer success leader. CSMs work closely with customers daily to drive your business's growth, and it's vital to ensure their compensation aligns with their objectives and performance.

When it comes to structuring CSM compensation plans, there's no one-size-fits-all solution. Successfully implementing a well-thought-out CSM compensation strategy depends on determining who is responsible for revenue-generating key performance indicators (KPIs) and milestones related to customer accounts, such as renewals, upsells, and expanding the user base.

Collaborative Goal Setting Across Departments

The role of a CSM has grown increasingly complex, covering various aspects of the customer lifecycle. Today, CSMs are involved in sales

MICHAEL G. WALKER

conversations, customer journey mapping, onboarding, implementation, ongoing support, and expansion discussions. Given their multifaceted responsibilities, developing the right engagement model requires input from other departments and leaders.

If you're in the process of creating a new compensation plan or evaluating your existing one, it's crucial to collaborate with counterparts in other teams, including sales, marketing, and product.

This collaboration is particularly vital when working with sales leaders. While sales representatives may earn commissions for acquiring new customers, many customer success organizations have compensation structures involving commissions or bonuses for expansions and renewals. Early alignment between both sides ensures clarity and avoids confusion when actual compensation is at stake.

Types of CSM Comp Plans

- **Base Only:** pure base salary with no bonus or variable component.
- **Base + Bonus:** base salary with a small bonus structure, usually in the form of a Management by Objective (MBO) bonus.
- **Base + Variable:** base salary with a variable component to not only reward for performance but also to provide more upside for over-achievement against targets.

THE EXCEPTIONAL EXPERIENCE

CUSTOMER SUCCESS COMPENSATION MODELS		
MODEL 1	Base Only	
MODEL 2	Base	BONUS
MODEL 3	Base	VARIABLE

Model 1: Base Only - This is a model we'd only suggest for part-time or "coaching" roles to support the primary CSM in providing an excellent experience for the client base. In almost all cases, having a CSM compensation plan that is 100% base salary is a mistake. Base-only compensation plans do little to align CSMs to company objectives and also provide no additional incentives (other than personal pride and work ethic) to achieve or overachieve the expected performance standards.

Model 2: Base + Bonus - Ideally, most objectives are quantitative and aligned to the important KPIs of the business (retention, upsell, cross-sell, NPS, # of case studies, etc.). However, MBOs often have one or more qualitative objectives, such as contribution to the team, leading a special project, etc.

Model 3: Base + Variable - As I mentioned above, we tend to recommend the Base + Variable compensation plan because it tends to provide the best alignment with the core objectives of the CSM team, drives clear accountability for performance (or lack thereof), and generously rewards CSMs for achieving or over-achieving their targets.

MICHAEL G. WALKER

CSM Comp Plan Template

When it comes to comp plans, simplicity is best. Focus on two main objectives: retention and growth (expansion).



For more on this topic, scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion Video Series & CSM Hiring Kit

Calculating Commissions on Renewals & Upgrades

For those who implement subscription/recurring pricing into their offer and services, one of the most common questions regarding compensation plans is: Who should own the renewal, Sales, or Client Services?

Typically, you will see three renewal ownership models; see the image below.

	SALES	Customer Success	Account Manager
MODEL 1	New Sales Expansion, Renewals	VALUE, USAGE/ Adoption	
MODEL 2	New Sales	VALUE, USAGE/ Expansion, Renewals	
MODEL 3	New Sales	VALUE, USAGE/ Adoption	Expansion, Renewals

THE EXCEPTIONAL EXPERIENCE

Model 1:

In model one, the core sales team retains ownership of all sales-related aspects of the relationship. The Account Executive (AE) who closed the initial new logo sale collaborates with the Customer Success Manager (CSM) throughout the customer relationship. The AE is responsible for expansion opportunities and renewals, while the CSM manages day-to-day interactions and aims to drive value and product adoption. This model is most effective for high-ticket or complex services, keeping the core sales team actively involved in all sales transactions.

Model 2:

In model two, the customer success team not only focuses on driving value and adoption but also takes charge of expansion opportunities and renewals. The sales team concentrates primarily on securing new logo sales and may receive credit for expansions within a defined period. After this period, the customer success team assumes full responsibility. AEs may be involved in complex expansion deals or renewals when necessary. This model suits situations with simple pricing and sales processes. Customer success leaders should not hesitate to have CSMs handle sales discussions if they've established trust, focused on delivering value aligned with the customer's key business objectives, and are recognized as the customer's advocate.

Model 3:

In model three, the core sales team handles all new logo sales, the customer success team concentrates on driving value and adoption, and a separate customer sales team is responsible for expansion and renewals

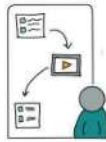
MICHAEL G. WALKER

within the existing customer base. Titles for this role vary, such as Account Manager (AM), Renewals Specialist, Customer Account Executive, or Client Executive. This model is typically best suited for businesses heavily reliant on recurring subscriptions or generating substantial annual recurring revenue (ARR), such as exceeding \$5 million. However, it's essential to note that having multiple primary contacts can sometimes cause confusion for customers. Customers generally prefer to work with one or two primary contacts, such as the AE and CSM, to keep the relationship simple and focused.

CHAPTER 7

Additional Resources & Review**Client Services Checklist**

For best results, here's what you should spend your time on:

**ONBOARDING ACTIVITIES**

- ✓ Initial Welcome
- ✓ Kick-off Meeting
- ✓ Establish goals & objectives

**SUCCESS PLANNING ACTIVITIES**

- ✓ goal-setting
- ✓ account planning
- ✓ journey mapping
- ✓ reviews

**DRIVING ADOPTION**

- ✓ Coaching
- ✓ training
- ✓ best practices
- ✓ templates

**HEALTH MONITORING ACTIVITIES**

- ✓ Usage tracking
- ✓ Sentiment analysis
- ✓ Risk Assessment
- ✓ Intervention

**CUSTOMER RETENTION ACTIVITIES**

- ✓ RENEWAL NOTIFICATION
- ✓ BUDGET PLANNING
- ✓ FOLLOW-UPS
- ✓ Win - Loss Analysis

**UPSELL & CROSS-SELL ACTIVITIES**

- ✓ Account Reviews
- ✓ ROI Analysis
- ✓ Goal Setting
- ✓ Opportunity Alignment

MICHAEL G. WALKER

Time Blocking & Daily Itinerary



For more on this topic, scan the QR Code provided earlier or click the link here if reading in digital format: Book Companion

Video Series & CSM Hiring Kit

TIME	MONDAY	TUESDAY	WEDNESDAY	THURSDAY	FRIDAY	SATURDAY	SUNDAY
5:00 AM							
5:30 AM							
6:00 AM							
6:30 AM							
7:00 AM							
7:30 AM	Buffer	Buffer	Buffer	Buffer	Buffer		
8:00 AM	Buffer	Buffer	Study/Reading/Thinking	Buffer	Buffer		
8:30 AM	CS admin	CS admin	Study/Reading/Thinking	CS admin	CS admin		
9:00 AM	CS admin	CS admin	CS admin	CS admin	CS admin		
9:30 AM	CS admin	CS admin	CS admin	CS admin	CS admin		
10:00 AM	Buffer	Buffer	Buffer	Buffer	Buffer		
10:30 AM	CS admin	CS admin	CS admin	CS admin	CS admin		
11:00 AM	CS admin	CS admin	CS admin	CS admin	CS admin		
11:30 AM	CS admin	CS admin	CS admin	Study/Reading/Thinking	CS admin		
12:00 PM	Study/Reading/Thinking	Study/Reading/Thinking	Study/Reading/Thinking	Buffer	Buffer		
12:30 PM	Buffer	Buffer	Buffer	Team Meetings	Buffer		
1:00 PM	Team Meetings	Sales Clinic Call	CS admin	Team Meetings	CS admin		
1:30 PM	Team Meetings	Sales Clinic Call	CS admin	Team Meetings	CS admin		
2:00 PM	CS admin	CS admin	Chamber Call	CS admin	CS admin		
2:30 PM	CS admin	CS admin	Chamber Call	CS admin	CS admin		
3:00 PM	CS admin	CS admin	Chamber Call	CS admin	CS admin		
3:30 PM	Buffer	CS admin	CS admin	CS admin	CS admin		
4:00 PM	CS admin	Client Calls	CS admin	LaunchKit Call	Study/Reading/Thinking		
4:30 PM	CS admin	Client Calls	CS admin	LaunchKit Call	Study/Reading/Thinking		
5:00 PM	CS admin	Client Calls	CS admin	LaunchKit Call	Study/Reading/Thinking		
5:30 PM	CS admin	OFF	OFF	Client Calls	OFF		
6:00 PM	OFF			Client Calls			
6:30 PM				Client Calls			
7:00 PM				OFF			
7:30 PM							
8:00 PM							

Interviewing & Hiring a CSM

Job Posting & Initial Vetting

- Post Job Description.
- For the top 10 candidates, ask for a 2-4 minute Loom video to introduce themselves.
- For the top 5, ask to submit the Culture Index.
- Top 3, Zoom interview #1.
- Top 2, Zoom interview #2 with Team Leaders.
- Trial Offer. If one/both seem viable, offer 60-day behind-the-scenes access to see how operations run.

THE EXCEPTIONAL EXPERIENCE

- 90-Day Offer: Invite the top candidate to a 90-day position with full pay, and interview them each end of the month to monitor progress.

Interview Questions

- Has there ever been a time when a customer asked for something unreasonable? How did you handle it?
- Tell me about a time when you went beyond the call of duty to take care of a customer.
- What do you like *most* about being in a customer contact position?
- What do you like *least* about being in a customer contact position?
- Now and then, we all get weary of interacting with customers. How do you stay up, fresh, and enthusiastic? How do you deal with the stress of customer contact?

A Word of Caution

One of the most important things to consider when hiring a CSM is the fact that you are introducing a new relationship into your client's world. As in all relationships, having a rotating door of people coming and leaving can cause a lot of uncertainty and, in many cases, is worse than simply not having the CSM position filled.

Only once it becomes clear that your candidate is the right person for the job would I suggest giving them full, open access to communicate directly with clients and build those bonds.

MICHAEL G. WALKER



For more on this topic, scan the QR Code provided earlier or
click the link here if reading in digital format: Book Companion
Video Series & CSM Hiring Kit

Conclusion, CTA & Resources

Throughout the book, we explored the evolution of client services, distinguishing it from mere support, and highlighted the pivotal role that the CS team within an organization has within the modern-day business environment, a marketplace where the client has infinite access to alternative options and no shortage of competitive services.

We also uncovered the distinct nuances and synergy that the Sales team and CS Team have when delivering an *Exceptional Experience*. In today's subscription economy, with recurring billing and subscription models, it becomes imperative to develop a seamless client journey and a high level of cross-department communication for all team members to have the information and context required to deliver on the promises made at the time of enrollment.

All of this is supported by adopting the use of KPIs and tracking strategies to objectively monitor client satisfaction and the overall "health" of the client relationship. In today's world, there's no shortage of data, but the key lies in distilling this information into actionable insights. These insights enable your client services team to operate in a predictive manner, addressing clients' needs proactively rather than merely reacting to them after the fact.

Truth be told, I've covered a lot in this book, but I could write dozens of more chapters on all the variables and intricacies that developing and

MICHAEL G. WALKER

managing a client services team requires. I'm confident that if you fully deploy the methodologies outlined in this book, you will be in the top 10% of your industry in delivering a truly memorable experience for your clients. And therein lies the secret and reason for investing time, effort, and money into your CS strategy: because the cost to keep a client is exponentially less than what is required to acquire one. So, while your competition spends through their marketing budgets to keep up with their churn rate, you can remain profitable and purpose-driven, focusing on delivering phenomenal results for your clients. In turn, these clients will stay with you and proactively tell others about your company, thus growing your business even more.

If you'd like to learn more about how to implement these principles and strategies into your business, I've made available the full-length recording of a recent Client Services & Retention Workshop that we hosted for CHAMBER® members, our highest tier of consulting programs. This will expand on everything I've covered here within these pages and provide you with a behind-the-curtain look at the type of training we dive into during our monthly members-only workshops.

The **Client Services & Retention Workshop** replay is only available for readers of this book. You can use the QR code below to access these resources:



THE EXCEPTIONAL EXPERIENCE

Key Takeaways

1. In traditional businesses, the customer relationship ends with the purchase. However, in a subscription business, the customer relationship begins with the purchase.
2. Once you approach Annual Renewal Revenues that represent 50% or more of Total Annual Revenue, it's recommended to create a dedicated renewals team whose sole job is to manage contract renewals. This is especially crucial in High LTV/High Ticket products and services that require bespoke services and high levels of communication with the client.
3. If you're genuinely committed to achieving the loyalty outcomes that are vital to the performance of the customer service department and, ultimately, the success of your company, reducing customer effort must become the new centerpiece of your service strategy.
4. The average person gives money, gift cards, or food as gifts. Each of these can be problematic. Money can feel transactional, gift cards lack personalization or warmth, and food gets consumed and then forgotten. Instead, consider offering "practical luxuries," items that will continue to delight your customer in the days, weeks, and months ahead.
5. Anticipate issues that might trigger negative emotions in your customer (anxiety, uncertainty, frustration, etc.) and proactively find ways to address them before the customer even has a chance to ask for help. This is especially important during the onboarding process.

MICHAEL G. WALKER

6. A sale is not truly complete until the customer receives the desired result.
7. Loyalty is about connection, and connection is about feelings. It's the sense that you have a relationship with your customers, and they have a relationship with you. Maintaining an open, honest, friendly, and supportive relationship with your customers is crucial. Consider how often you can communicate on a more personal level with your customers and brainstorm ideas with your team.
8. Client Services and Support SOPs should be accessible to all team members, regardless of department, to ensure a team-wide understanding of the overall client journey and the intended experience.
9. When it comes to tracking customer health, remember that "more" data isn't necessarily better. In fact, it can even cloud decision-making if not provided with enough context. Keep it simple and consider data science sophistication levels based on the size of your membership and the available resources within your CS Department.
10. Customers don't choose to stay with you solely because of the historical value you've provided; they stay because of the vision and promise of the future you've presented to them. If you can identify a problem the customer didn't know they needed solving, you've offered future value.

THE EXCEPTIONAL EXPERIENCE

11. When receiving a testimonial, take the time to send the person a message. Sending a handwritten note via snail mail will have an even greater impact.
12. Your customers are a more valuable source of insight than any product development team or think tank. Just ask them: “What do you love? What do you hate? What do you wish you could do? Which feature did you wish you had known about sooner?”
13. Customer success is a philosophy that must permeate the entire company. No organization or job role can function in a vacuum, and Client Services may be the best example of this. It requires a top-down, company-wide commitment to truly deliver a world-class customer experience.
14. Leverage your client experience systems as a Unique Service Proposition (USP). Unlike product features, design elements, functionalities, and materials, it is very difficult (if not impossible) to “copy” another business’s client experience, making it the ultimate differentiator between you and your competitors.

Client Services Resources

1. Client Services & Retention Workshop:



2. Book Companion Video Series & CSM Hiring Kit

- a. CSM Comp Plan (Sample)
- b. CSM Job Description
- c. CSM Priorities Checklist
- d. CSM Hiring Questions & Professional Attributes
- e. Letter from Michael G Walker, Author & Client Services Director



